

Financial Accounting

BC-2

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- **Financial**

- The finances or financial situation of an organization or individual. In term of monetary

- **Accounting**

- Accounting is the process of recording financial transactions pertaining to a business.
The accounting process includes summarizing, analyzing and reporting these transactions to oversight agencies, regulators and tax collection entities.

- **Accounting**

- Main Goal & Objective is “ To provide the Information”

- **Information**

- Financial Information

- » Income Statement

- » Balance Sheet

- » Cash flow Statement

- » Change in equity

- Managerial (Insider)

Outsider Banker , Investor, Creditor Govt.Agency

Financial Accounting

Accounting Equation

Accounting Equation: $\text{Assets} = \text{Liabilities} + \text{Owner's Equity}$

- **Assets**

- An asset is a resource with economic value that an individual, corporation, or country owns or controls with the expectation that it will provide a future benefit. Assets are reported on a company's balance sheet and are bought or created to increase a firm's value or benefit the firm's operations.

Types of Asset Classifications

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graph TD; A[Types of Asset Classifications] -.-> B[Convertibility]; A -.-> C[Physical Existence]; A -.-> D[Usage]; B -.-> E[Current Assets]; B -.-> F[Fixed Assets]; C -.-> G[Tangible Assets]; C -.-> H[Intangible Assets]; D -.-> I[Operating Assets]; D -.-> J[Non-Operating Assets];
```

Convertibility

Current
Assets

Fixed
Assets

Physical Existence

Tangible
Assets

Intangible
Assets

Usage

Operating
Assets

Non-
Operating
Assets

- **1. Current Assets**

- Current assets are assets that can be easily converted into cash and cash equivalents (typically within a year). Current assets are also termed liquid assets and examples of such are:

- Cash
 - Cash equivalents
 - Short-term deposits
 - Accounts receivables
 - Inventory
 - Marketable securities
 - Office supplies

- **2. Fixed or Non-Current Assets**
- Non-current assets are assets that cannot be easily and readily converted into cash and cash equivalents. Non-current assets are also termed fixed assets, long-term assets, or hard assets. Examples of non-current or fixed assets include:
 - Land
 - Building
 - Machinery
 - Equipment
 - Patents
 - Trademarks

- **Classification of Assets: Physical Existence**
 - If assets are classified based on their physical existence, assets are classified as either **tangible assets** or **intangible assets**.
 - **1. Tangible Assets**
 - Tangible assets are assets with physical existence (we can touch, feel, and see them). Examples of tangible assets include:
 - Land
 - Building
 - Machinery
 - Equipment
 - Cash
 - Office supplies
 - Inventory
 - Marketable securities

- **2. Intangible Assets**

- Intangible assets are assets that lack physical existence. Examples of intangible assets include:

- Goodwill
 - Patents
 - Brand
 - Copyrights
 - Trademarks
 - Trade secrets
 - Licenses and permits
 - Corporate intellectual property

- **Classification of Assets: Usage**

- If assets are classified based on their usage or purpose, assets are classified as either **operating assets** or **non-operating assets**.

- **1. Operating Assets**

- Operating assets are assets that are required in the daily operation of a business. In other words, operating assets are used to generate revenue from a company's core business activities. Examples of operating assets include:
 - Cash
 - Accounts receivable
 - Inventory
 - Building
 - Machinery
 - Equipment
 - Patents
 - Copyrights
 - Goodwill

- **2. Non-Operating Assets**

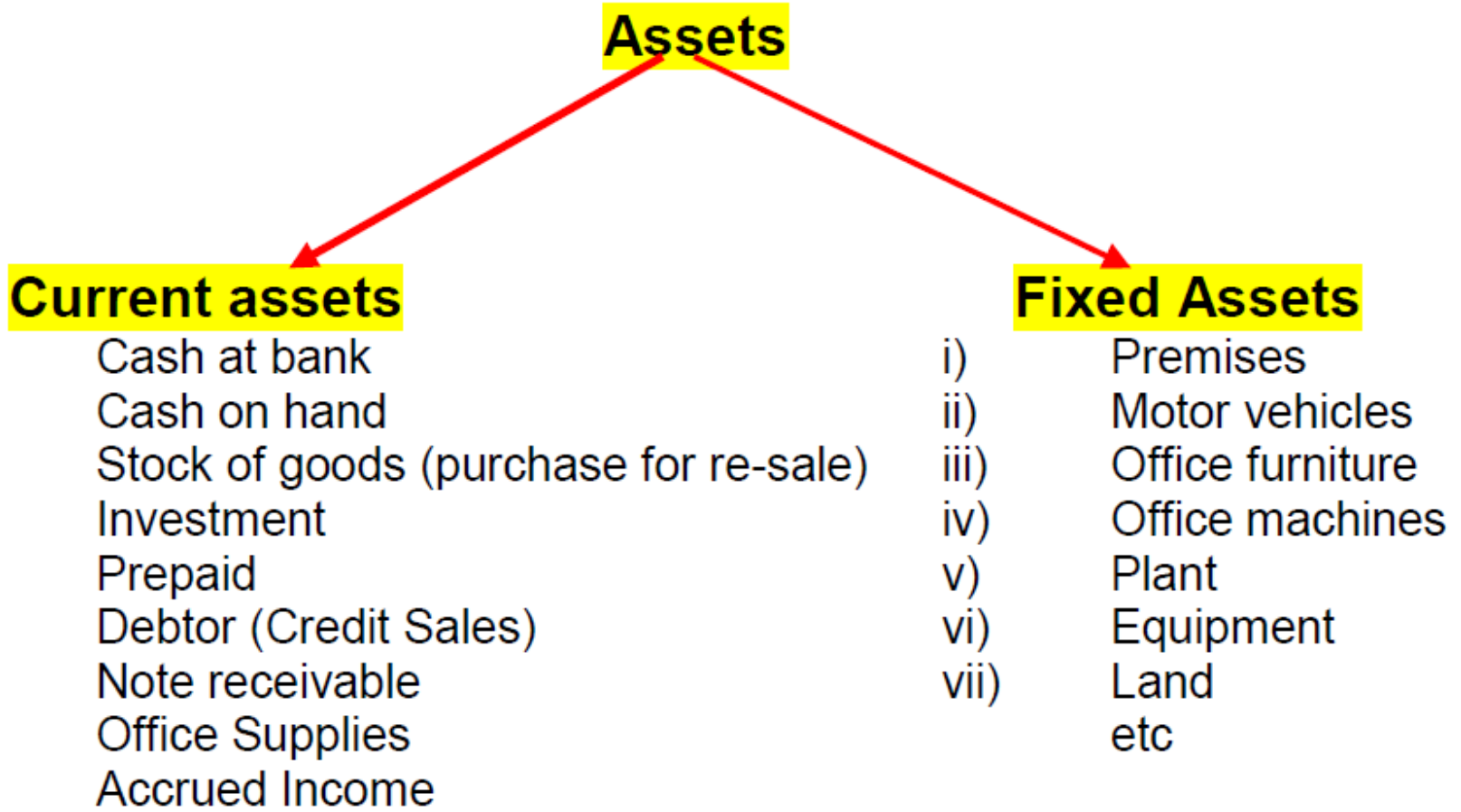
- Non-operating assets are assets that are not required for daily business operations but can still generate revenue. Examples of non-operating assets include:

- Short-term investments
 - Marketable securities
 - Vacant land
 - Interest income from a fixed deposit

Financial Accounting

Terminologies

Assets



Current assets

- i) Cash at bank
- ii) Cash on hand
- iii) Stock of goods (purchase for re-sale)
- iv) Investment
- v) Prepaid
- vi) Debtor (Credit Sales)
- vii) Note receivable
- viii) Office Supplies
- ix) Accrued Income

Fixed Assets

- i) Premises
- ii) Motor vehicles
- iii) Office furniture
- iv) Office machines
- v) Plant
- vi) Equipment
- vii) Land
etc

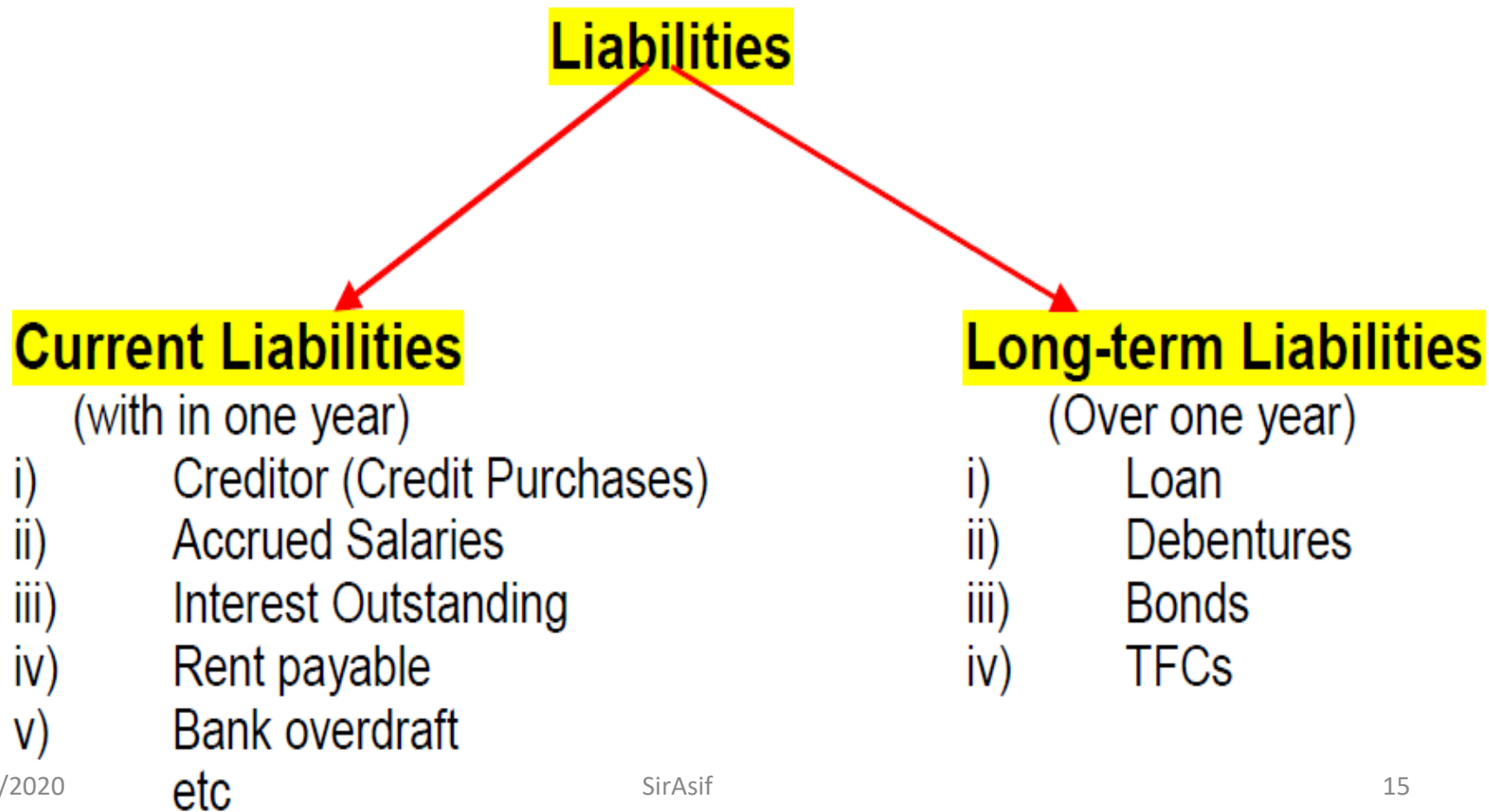
- **Liability**

- A **liability** (Payable) is something a person or company owes, usually a sum of money

Financial Accounting

Terminologies

Liabilities: Liabilities are amount owed by a business to external parties.



- **Owner's Equity**
 - **Owner's Equity** is defined as the proportion of the total value of a company's assets that can be claimed by its **owners**

Financial Accounting

Terminologies

Owner's Equity: Owner's Equity is the Owner's interest or claim on the assets of the business.

Owner's Equity

- | | |
|-----------------|---|
| i) Investment | + |
| ii) Profit | + |
| iii) Loss | - |
| iv) Withdrawals | - |

Financial Accounting

Accounting Equation

- Assets = Liabilities + Owner Equity
 $100,000 = 30,000 + 70,000$
- Assets = Liabilities + Owner Equity(capital+P/L)
- Profit/Loss = Revenue – Expense

Financial Accounting

Accounting Equation Q1

1.1 Complete the gaps in the following table:

	<i>Assets</i>	<i>Liabilities</i>	<i>Capital</i>
	£	£	£
(a)	12,500	1,800	?
(b)	28,000	4,900	?
(c)	16,800	?	12,500
(d)	19,600	?	16,450
(e)	?	6,300	19,200
(f)	?	11,650	39,750

1.2A Complete the gaps in the following table:

	<i>Assets</i>	<i>Liabilities</i>	<i>Capital</i>
	£	£	£
(a)	55,000	16,900	?
(b)	?	17,200	34,400
(c)	36,100	?	28,500
(d)	119,500	15,400	?
(e)	88,000	?	62,000
(f)	?	49,000	110,000

Financial Accounting

- **Types of Organization**

Business *(Trading, Manufacturing, Service)*

Non Business *(NGOs)*

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- **Types of business Unit / Organization**

- 1. Sole Proprietorship**
- 2. Partnership**
- 3. Public Ltd. Companies**

Financial Accounting

- **Types of Revenues**

Revenues can be classified as operating revenue and non-operating revenue.

1. **Operating revenues** are those that originate from main business operations. For example: **Sales**, etc.
2. **Non-operating revenues** are earned from some side activity. For example: **Interest Revenue, Rent Revenue, Commission Revenue**(except in case where the business' main industry is renting industry).

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- **Expenses definition.**

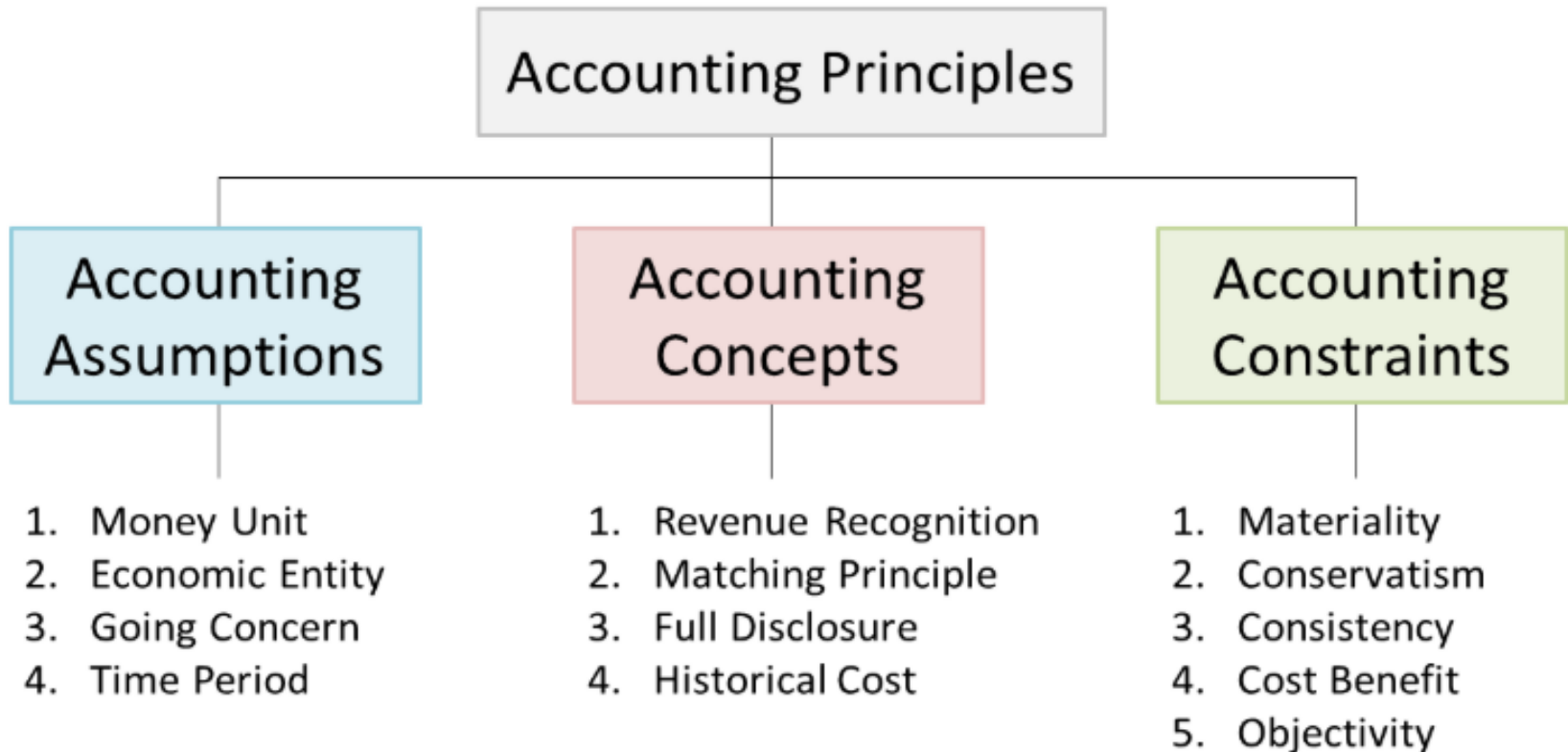
Costs that are matched with revenues on the income statement. For example, Cost of Goods Sold is an expense caused by Sales. Insurance Expense, Wages Expense, Advertising Expense, Interest Expense are expenses matched with the period of time in the heading of the income statement.

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- Following is a list of common **types of expenses** recognized in the financial statements:
- Salaries and wages
- Utility expenses
- Cost of goods sold
- Administration expenses
- Finance costs (Interest Exp)
- Depreciation (Non Cash)
- Rent Etc

Financial Accounting

Accounting Principles



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Financial Accounting

Accounting Principles

- **MONEY MEASUREMENT**

All transactions of the business are recorded in terms of money

- **Economic Entity**

1. Sole Proprietorship
2. Partnership
3. Ltd. Companies

Financial Accounting

Accounting Principles

- **Going concern concept**

The business will continue in operational existence for the foreseeable future

- **Time Period**

is an accounting principle which states that a business should report their financial statements appropriate to a specific time period.

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Accounting Principles

- **Revenue recognition principle**, a feature of accrual accounting, requires that revenues are recognized on the income statement in the period when realized and earned—not necessarily when cash is received
- **Matching principle** states that expenses should be recognized and recorded when those expenses can be matched with the revenues those expenses helped to generate.

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Accounting Principles

- **Full disclosure principle**

is a concept that requires a business to report all necessary information about their financial statements and other relevant information to any persons who are accustomed to reading this information.

- **Historical Cost Principle.**

states that businesses must record and account for most assets and liabilities at their purchase or acquisition price. In other words, businesses have to record an asset on their balance sheet for the amount paid for the asset.

Financial Accounting

Accounting Principles

- **Materiality principle**

states that an accounting standard can be ignored if the net impact of doing so has such a small impact on the financial statements that a user of the statements would not be misled.

Financial Accounting

Accounting Principles

- **Conservatism principle** is the general concept of recognizing expenses and liabilities as soon as possible when there is uncertainty about the outcome, but to only recognize revenues and assets when they are assured of being received.

Financial Accounting

Accounting Principles

Consistency

refers to the principle that companies should use the same accounting methods to record similar transactions over time. In other words, companies shouldn't bounce between accounting rules and treatments to manipulate profits or other financial statement elements.

Financial Accounting

Accounting Principles

- **Cost benefit principle**

relationship states that the cost of providing financial information in the financial statements must not outweigh the benefit of that information to the users. In other words, financial information is not free.

Financial Accounting

Accounting Principles

- **Objectivity** is a philosophical **concept** of being true independently from individual subjectivity caused by perception, emotions, or imagination. A proposition is considered to have objective truth when its truth conditions are met without bias caused by a sentient subject.

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Thank you